Oracle (ORCL)

Recommendation. Pass. This is a view of the company, not a trade: the expected profit does not beat trading costs. If the money went elsewhere, the best alternative in this run is NCLH. Position size and hedge: open until the call passes.

The combined view: four groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the four groups. It ranks 6 of the issuers in this run. 4 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	+92	45%	+41	leans to owning
G2 clocks. Two clocks	-158	20%	-32	against owning
G2 rest. Built methods (rest)	-88	12%	-10	against owning
G3. Credit skills	-215	12%	-25	against owning
G4. Books	-16	12%	-2	against owning
Combined, before trading costs			**-27**	
Trading costs			-173	
Combined, after trading costs			**-201**	
Weighted cases and stories alone, after costs			-173	
Calibrated: after-cost number x measured slope 0.079			-16	

Against the weighted cases and stories alone, the combination is 27 bp a year lower: the other methods take away from the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 45%, two clocks 20%, and 11.7% each for the rest of the built methods, the credit skills and the books. The backtest alone would have put most weight on the built methods.

Alpha sizes are uncalibrated. The backtest (2008 to 2026) shows that this kind of estimate ranks bonds well but overstates the size of the move. Realised alpha has been about 0.08 times the predicted alpha (standard error 0.05; 0.25 since 2019). The calibrated number multiplies by that slope: -16 bp a year after costs (-51 on the 2019 slope). The slope is not above zero by two standard errors, so the number ranks the bond but does not size it. Decision page: 2026-10-22-alpha-backtest-design. The backtest has no default-loss term yet.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: leans to owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is +92 bp a year before trading costs (costs are 173 bp a year); 3 of 4 of its weighted estimates point the same way. It carries 45% of the combined view and ranks 2 of the issuers on this group alone. Best alternative for the same money: NCLH.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	+6	0%	+0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	-167	25%	-42	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	+96	25%	+24	F4; RV PDF E75-E76
Debt against market value	+297	25%	+74	F7.7
Return above cash, repriced in every story	+143	25%	+36	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 136 bp over Treasuries at 5 years. A company with its leverage (4.3x with leases) pays 135 bp on the fair line, so the bond is cheap by 1 bp. The bills outlast the signed contracts (section

G2.1), so part of the extra spread pays for a renewal bet that the line does not see. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** Oracle provides products and services that build, run and support enterprise information technology (IT) frameworks. Our products and services include enterprise applications and infrastructure offerings that incorporate and are enhanced by artificial intelligence (AI) technologies, including embedded AI-driven automation and analytics and generative AI capabilities.
2. **How it earns:** revenue 71.8bn a year at a 47% EBITDA margin.
3. **What it must spend to stand still:** rent of about $5.5bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** net retention and bookings fall; cost cuts reverse.

Business type: A6.

G1.3 Earnings, normalised

Last 12 months: EBITDA $33.9bn at a 47% margin; margin trend over 8 quarters 3.8 (t-statistic: above 1 rising, below −1 falling). One-off items $-0.6bn. Free cash flow $-28.7bn: -85% of EBITDA. Earnings-quality flags raised: EQ7 conversion, EQ5 recurrence, FCF check (waterfall against OCF less capex) (of 5 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$37.0bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.4bn
Liquidity	$36.6bn
Runway at today's cash burn, all capital spending (quarters)	5.1
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	2
Runway we quote (the shortest)	**2.0** (severe, committed capex)
Debt due in the next 18 months	$7.2bn
Cash to meet debt due in a year, base case	7.34x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($3.2bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$37.2bn
First quarter below zero, likely story	none in 8 quarters
Lowest point with all capital spending	$-148.7bn
First quarter below zero with all capital spending	quarter 2
Lowest point, severe case	$35.1bn
Severe case with all capital spending: first quarter below zero	quarter 2
Lowest point, weighted over the stories	$37.2bn
Debt due inside 8 quarters, share of all debt	14%

Refinancing shock. $17.4bn falls due in the next two years. It pays about 3.71% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $0.5bn (1.4% of EBITDA). Interest cover after refinancing: 6.1x; after capital spending -7.5x. Free cash flow after the shock: -23.3% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$125.3bn
Lease liabilities	$43.8bn
EBITDA, last 12 months	$33.9bn
Debt / EBITDA	3.7x
(Debt + leases) / (EBITDA + rent)	4.3x
Net debt / EBITDA	2.6x
Coverage (after all capital spending)	-8.2x
Fixed-charge cover (after maintenance spending)	2.75x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
68389XBN4	3.25%	2027-11-15	97.9	5.13%	69
68389XCD5	2.30%	2028-03-25	95.6	5.32%	78
68389XCM5	4.50%	2028-05-06	98.6	5.37%	80
68389XCY9	4.80%	2028-08-03	99.1	5.32%	68
68389XDW2	4.55%	2029-02-04	97.5	5.69%	99
68389XCS2	4.20%	2029-09-27	95.7	5.76%	101

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $540bn (shares $451bn plus net debt): 15.9x EBITDA; debt is 23% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (68389XCZ6, 5.25% due 2032-02-03, price 95.37 plus 0.63 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 64% of the price paid.

Measure	Value
Expected return above cash, bp a year	+143
Chance of a loss over six months	9.2%
Chance of doing worse than cash	9.2%
Average loss in the worst 5% of outcomes	7.7%
Same, with rates and the market hedged out, bp a year	-10
Best alternative in this run (worst 5% loss within the 25% budget)	NCLH
Return given up against that alternative, bp a year	+304

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: against owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is -88 bp a year before trading costs (costs are 173 bp a year); 4 of 5 of its weighted estimates point the same way. It carries 12% of the combined view and ranks 8 of the issuers on this group alone. Gate: pass.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	-31	42%	-13	Spec S14 E0; K15
Weighted cases and stories	-0	25%	-0	M5.4, M7.5
Spread against the fair line	+3	17%	+1	M7.4, M7.5
The pair	-776	8%	-65	M7.4; F10 S4
Health panel	-130	8%	-11	F8

G2.1 The two clocks: bills against what pays for them

Verdict: against owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is -158 bp a year before trading costs (costs are 173 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 7 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	-158	100%	-158	M4.7

Fixed bills total $549.0bn, centred 8.2 years out: leases in force $63.2bn, signed leases not yet started $288.0bn, debt principal $130.1bn, interest $33.5bn, purchase commitments $34.1bn. That is 13.9 years of today's EBITDAR; next year's bills take 75% of it.

Measure	Value
Signed contracts (RPO)	$664.0bn
Where bills centre / where contract cash centres	year 8.2 / year 3.4
Contracts 99% booked by	year 10
Margin needed for contracts to pay every bill	83%
Company margin (EBITDAR)	55%
Share of bills paid by contracts at that margin	66%
Bills due after the contracts end	$203.8bn (37%)
of which debt to refinance	$46.4bn (8%)
of which rent and purchases to recontract	$157.4bn (29%)
Revenue to sign after the contracts end	4.8 years of today's revenue
Largest running shortfall	$184.8bn
Top three customers	n/a
Share paid by contracts at a 0.20 margin	24%
Share paid by contracts at a 0.35 margin	42%
Share paid by contracts at a 0.50 margin	60%
Share paid by contracts at a 0.55 margin	67%

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	60%	5.0%	3.0x	3.5x	$40.4bn	no	no
down moderate	15%	3.3%	3.2x	3.5x	$40.6bn	no	no
down severe	5%	2.3%	4.3x	4.3x	$39.1bn	no	no
upside	20%	6.6%	2.8x	3.4x	$40.3bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	3.1x	4.3x	0%	0.9%	-0
recession	2%	3.2x	4.4x	0%	2.4%	0
higher for longer	8%	3.1x	4.3x	0%	1.1%	-0
disinflation rally	4%	3.1x	4.2x	0%	0.7%	-0
stagflation	0%	3.2x	4.4x	0%	2.5%	0

G2.3 Relative value and the pair

Fair line: log spread = -5.64 + 0.312 x leverage, fitted on 8 issuers in this run. 5-year spread 136 bp against a fair 135 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Information Technology. Rating class: BB (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	-5%	-12%
Sector only	-3%	-5%
Rating only	-5%	-12%

The sector and rating cell has fewer than five other issuers, so that row uses the rating cell. **SPiDER** (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 32% of the peer bonds across all sectors, and -40% against sector and rating peers. It has no weight in the score: its edge beyond spread level is small (t 1.3 at 12 months). **Against CRWV.** Spreads at 5 years: CRWV 739 bp, ORCL 136 bp.

Spread per	CRWV	ORCL	Cheaper
turn of leverage	83	32	CRWV
year of EBITDA that depends on renewal	85	23	CRWV
unit of breakeven margin	721	165	CRWV
year of clock gap	257	28	CRWV

The fair line favours long CRWV, short ORCL: a gap of 159 bp, which halves in about 17 weeks on six months of trades. Under the stories the pair earns soft landing +348, recession +918, higher for longer +414, disinflation rally +270, stagflation +935 bp a year; weighted +363 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: -0 bp a year before trading costs, -173 bp after. It does not beat costs. The expected default loss is charged on the price paid: 64% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	1.1%	1.0%	-0.1%	open	not tested
Breakeven default probability, 12 months (loss on price)	2.1%	1.0%	-1.2%	1.1%	yes
Leverage the spread is pricing	4.33	4.30	-0.03	0.90	no
Spread against fair (bp)	136	135	-1	38	no
Rating class	open	BBB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

- Earnings after capital spending do not cover interest. Tracked by: coverage (-8.19). Resolves when: capital spending falls, or earnings rise.
- Little of the earnings turns into free cash. Tracked by: cash conversion (fcf / ebitda) (-0.85). Resolves when: growth spending ends.
- Free cash flow repays little debt. Tracked by: free cash flow / debt (-0.23). Resolves when: free cash flow turns positive.
- Earnings-quality flags are raised. Tracked by: earnings-quality flags (3.00). Resolves when: flags clear in the next two quarters.

Measure	Value	Band
Coverage	-8.19	red
Cash conversion (FCF / EBITDA)	-0.85	red
Free cash flow / debt	-0.23	red
Earnings-quality flags	3.00	red
Refinancing access score (0 to 6)	3.00	amber
Fixed-charge cover	2.75	green
Cash to meet debt due in 1 year (base case)	7.34	green
Margin trend (t-statistic)	3.77	green
Weight on the downside cases	0.20	green
Chance debt due in 1 year is not covered	0.00	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: against owning. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is -215 bp a year before trading costs (costs are 173 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 12% of the combined view and ranks 6 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: watchlist.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	-215	100%	-215	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $33.3bn. The company's own measure adds back $0.6bn of one-off items to reach $33.9bn: 1.7% of reported EBITDA (a negative figure is a one-off gain taken out). This is under the 5% line for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $-29.3bn. The two roads to free cash flow (the EBITDA bridge, $-49.4bn; operating cash flow less capital spending, $-28.7bn) differ by 61% of EBITDA: above the 10% tolerance, so an earnings-quality flag is raised. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The 10-Q and 10-K text state no maintenance test level. Public bonds are often tested only when the company borrows more or pays out cash. Headroom is an open question until the credit agreement is read.

G3.3 Watchlist and trajectory

Watchlist tier: **watchlist** because free cash flow is negative. EBITDA against the same months a year earlier: 38.3% (no plan is public, so last year stands in for it).

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	29.6%
EBITDA	improving	trend	53.1%
EBITDA margin	improving	trend	18.1%
cash conversion	deteriorating	observation	-873.5%

One quarter is an observation, two a data point, three or four a trend. The measures point different ways; the memo must explain why.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	pass
Historical financials	at least 3 years, quarterly where available	pass
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	open

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: against owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor. Its estimate of expected profit is -16 bp a year before trading costs (costs are 173 bp a year); 1 of 2 of its weighted estimates point the same way. It carries 12% of the combined view and ranks 5 of the issuers on this group alone. S&P anchor class: BBB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	-31	50%	-16	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	+0	50%	+0	Kricheff ch. 21

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$33.9bn
less capital spending	$75.7bn
less cash interest	$5.1bn
less cash taxes	$2.8bn
less increase in working capital	$-0.3bn
Free cash flow	**$-49.4bn**
Check: free cash flow before capital spending less operating cash flow	$-20.7bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	6.6x	Debt / EBITDA	3.7x
(EBITDA − capex) / interest	-8.2x	Net debt / EBITDA	2.6x
(EBITDA − maintenance capex) / interest	4.6x	Free cash flow / debt	-23.0%
EBITDA / debt (highest rate at 1x cover)	27.0%	Market value / EBITDA	15.9x
Equity cushion (1 − debt / market value)	77%	Spread per turn of leverage	37 bp

Kricheff's snapshot rule: operating cash flow does not cover capital spending, so the issuer lives on the capital markets and needs the detailed liquidity work of section G1.4. Spread per turn compares the bond with the run's median of 38 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	27%	1.2	57.5%	78.5%
Funds from operations / debt	28%	6.1	19.5%	10.8%
Free operating cash flow / debt	-17%	10.0	8.5%	2.5%
EBITDA / interest (with lease interest)	4.0x	6.8	3.2x	1.8x
EBITDA margin	47%	3.0		

Financial risk score 5.9. Business risk score 5.0: industry 5, steadiness of sales 5 (year-on-year growth varies by 7.8%), customer spread 5. The book puts 45% of the weight on business risk for this class, so the default risk score is 5.5: the **BBB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

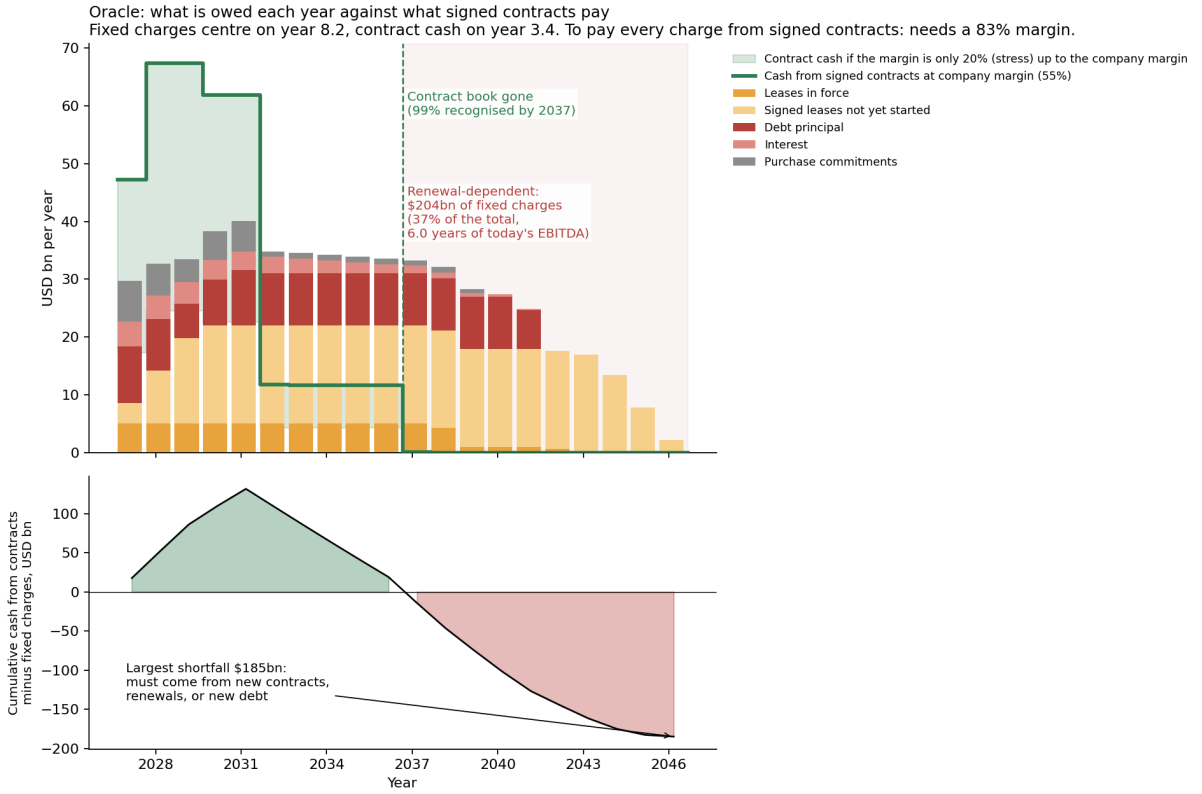
Coming events, open questions, and the record

- Next quarterly results (estimated from filing cadence): 2026-12-12 (estimate).
- Debt due by 1.0 years out: - $7.2bn.

Open questions, most important first:

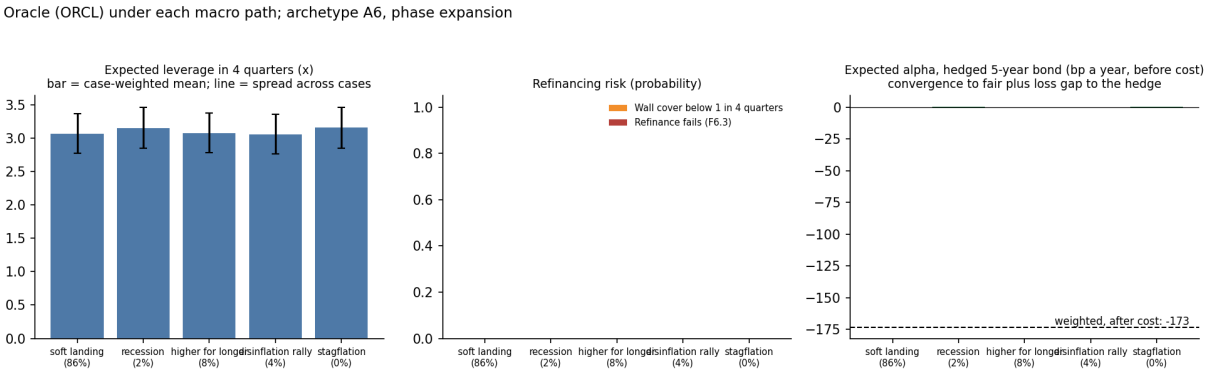
1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Maintenance covenant levels: none stated in the 10-Q or 10-K text; read the credit agreement exhibit (public bonds are often incurrence-only).
6. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
7. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
8. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
9. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).
10. Distressed multiple (F7.3) and the recovery of the bonds if the company defaults (F7.9).

Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



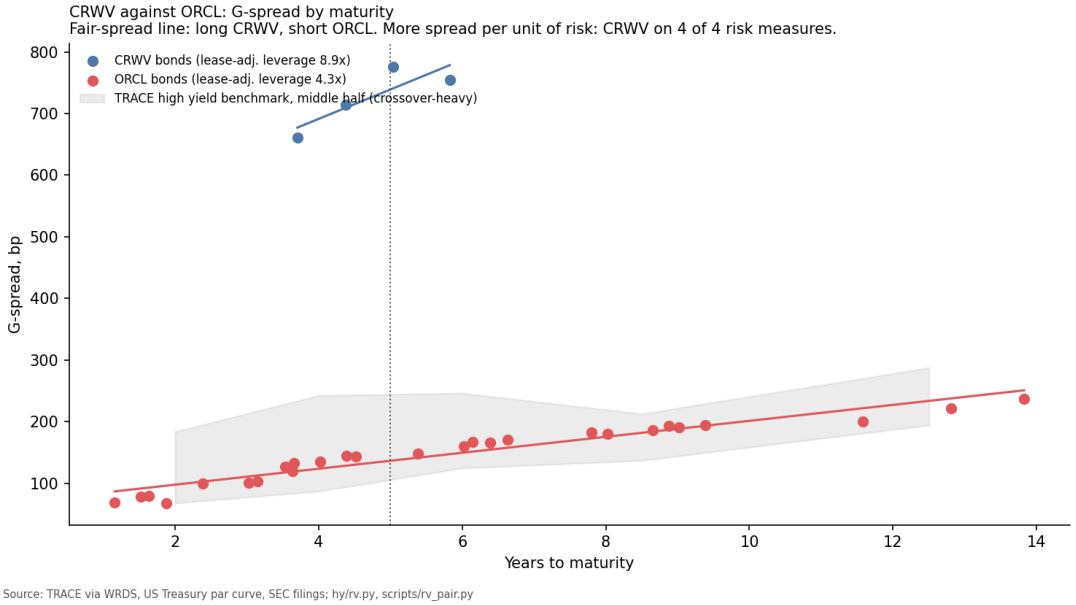
Source: Oracle SEC filings as of 2026-08-31 (XBRL), hy/clocks.py. Assumptions listed in the write-up.

The two clocks (section G2.1).



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).